

He cares about heart attitude. Tithing will be a part of the next stage of financial planning for you and Ben, once the expenses are reduced.”

THEIR PLAN

I trust that by now you recognize the errors that Ben and Naomi made in their finances. Their problem could be called “too much, too soon.” It is a common malady for many young couples in our society. It has been said (and unfortunately is all too true) that a young couple today tries to accumulate in three years what took their parents thirty years to accumulate. The one thing that people, both married and single, need to learn very quickly is that individuals must be self-disciplined. They cannot count on the lenders to force them to live within their means.

Unfortunately, some young couples have no idea how to calculate what they can or cannot afford to pay. So, they end up taking out mortgages that consume an excessive amount of their household income. Combine that with the use of second mortgages to help make the down payments and loans for refrigerators, lawn mowers, and curtains, and you can see why so many young couples have ended up in financial trouble.

But the purpose of this book is not only to show how people can get into debt, it is to help you understand how to get out of debt. To do that, we need to follow Ben and Naomi as they carry out the plan their financial coach worked out with them.

First, it’s important to understand that by the time they went to see him they were deeply in debt and had elected to file for a Chapter 13 reorganization under the Federal Bankruptcy Code. The chart below is a summary of Ben and Naomi’s financial condition when their coach Bryan Stanford first saw them. The figures on the left reflect what Ben and Naomi had budgeted. The figures on the right represent a better distribution of their money.

As you can see, Ben and Naomi had a financial problem that could be solved only by creating more income or by spending less.